



Date: 02/15/2022

Attn: Rob Bowen
78 Brookside Ave, Ste 132B
Chester, NY 10918

Named Insured: Marcus Brandt

Effective Date: 03/29/2022 to 03/29/2023

Policy Number: 22SSI224PF2024

Please find enclosed electronic policy set for:

2858 New York 52
Hopewell Junction, NY 12533

If after reviewing you find corrections are necessary, please bring those to my attention. Thank you for the opportunity to service your client.

In the event of a claim, please notify me at the following:

Sterling Surplus Underwriters

PO Box 176
Madison, MS 39130

em: brad@sterlingsu.com

fx: 888-645-1716

<https://backoffice.sterlingsu.com/submitclaim>

Sincerely,

A handwritten signature in blue ink, appearing to be "C. Brad Moncrief".

C. Brad Moncrief
Principal/Broker



LLOYD'S

Insurance effected through:
Sterling Surplus Underwriters
PO Box 176
Madison, MS 39130

This is to Certify that in accordance with the authorisation granted under the Contract (the unique market reference number of which is specified in the Declaration) to the undersigned by certain Underwriters at Lloyd's, whose names and the proportions underwritten by them, which will be supplied on application, can be ascertained by reference to the said Contract which bears the Seal of Lloyd's Policy Signing Office, and in consideration of the premium specified herein, the said Underwriters are hereby bound, each for his own part and not one for another, their Heirs, Executors and Administrators, to insure in accordance with the terms and conditions contained herein or endorsed hereon.

Notwithstanding anything to the contrary contained herein this Certificate does not cover Loss, Damage or Liability directly or indirectly occasioned by, happening through or in consequence of war, invasion, acts of foreign enemies, hostilities (whether war be declared or not), civil war, rebellion, revolution, insurrection, military or usurped power or confiscation or nationalisation or requisition or destruction of or damage to property by or under the order of any government or public or local authority.

The subscribing Insurers' obligations under Contracts of Insurance to which they subscribe are several and not joint and are limited solely to the extent of their individual subscriptions. The subscribing Insurers are not responsible for the subscription of any co-subscribing Insurer who for any reason does not satisfy all or part of its obligations.

If the Assured shall make any claim knowing the same to be false or fraudulent, as regards amount or otherwise, this Certificate shall become void and all claim hereunder shall be forfeited.

In Witness whereof this Certificate has been signed at the place stated and on the date specified in the Declarations by: Sterling Surplus Underwriters.

Sterling Surplus Underwriters.

Authorized Official

Please examine this Document carefully. If it does not meet your needs, return immediately. In all communications the Number appearing in line one of the Schedule should be quoted. In the event of loss or expense under this Insurance, immediate notice should be given to:

CERTIFICATE PROVISIONS

- 1. Signature Required.** This Certificate shall not be valid unless signed by the Correspondent on the attached Declaration Page.
- 2. Correspondent Not Insurer.** The Correspondent is not an Insurer hereunder and neither is nor shall be liable for any loss or claim whatsoever. The Insurers hereunder are those Underwriters at Lloyd's, London whose syndicate numbers can be ascertained as hereinbefore set forth. As used in this Certificate "Underwriters" shall be deemed to include incorporated as well as unincorporated persons or entities that are Underwriters at Lloyd's, London.
- 3. Cancellation.** If this Certificate provides for cancellation and this Certificate is cancelled after the inception date, earned premium must be paid for the time the insurance has been in force.
- 4. Service of Suit.** It is agreed that in the event of the failure of Underwriters to pay any amount claimed to be due hereunder, Underwriters, at the request of the Assured, will submit to the jurisdiction of a Court of competent jurisdiction within the United States. Nothing in this Clause constitutes or should be understood to constitute a waiver of Underwriters' rights to commence an action in any Court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any State in the United States. It is further agreed that service of process in such suit may be made upon the firm or person named in item 6 of the attached Declaration Page, and that in any suit instituted against any one of them upon this contract, Underwriters will abide by the final decision of such Court or of any Appellate Court in the event of an appeal.

The above-named are authorized and directed to accept service of process on behalf of Underwriters in any such suit and/or upon request of the Assured to give a written undertaking to the Assured that they will enter a general appearance upon Underwriters' behalf in the event such a suit shall be instituted.

Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefor, Underwriters hereby designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Assured or any beneficiary hereunder arising out of this contract of insurance, and hereby designate the above-mentioned as the person to whom the said officer is authorized to mail such process or a true copy thereof.

- 5. Assignment.** This Certificate shall not be assigned either in whole or in part without the written consent of the Correspondent endorsed hereon.
- 6. Attached Conditions Incorporated.** This Certificate is made and accepted subject to all the provisions, conditions and warranties set forth herein, attached or endorsed, all of which are to be considered as incorporated herein.
- 7. Short Rate Cancellation.** If the attached provisions provide for cancellation, the table below will be used to calculate the short rate proportion of the premium when applicable under the terms of cancellation.

Short Rate Cancellation Table for Term of One Year.

Days Insurance in Force	Percent of one year Premium	Days Insurance in Force	Percent of one year Premium	Days Insurance in Force	Percent of one year Premium	Days Insurance in Force	Percent of one year Premium
1	5%	66-69	29%	154-156	53%	256-260	77%
2	6%	70-73	30%	157-160	54%	261-264	78%
3-4	7%	74-76	31%	161-164	55%	265-269	79%
5-6	8%	77-80	32%	165-167	56%	270-273	80%
7-8	9%	81-83	33%	168-171	57%	274-278	81%
9-10	10%	84-87	34%	172-175	58%	279-282	82%
11-12	11%	88-91	35%	176-178	59%	283-287	83%
13-14	12%	92-94	36%	179-182	60%	288-291	84%
15-16	13%	95-98	37%	183-187	61%	292-296	85%
17-18	14%	99-102	38%	188-191	62%	297-301	86%
19-20	15%	103-105	39%	192-196	63%	302-305	87%
21-22	16%	106-109	40%	197-200	64%	306-310	88%
23-25	17%	110-113	41%	201-205	65%	311-314	89%
26-29	18%	114-116	42%	206-209	66%	315-319	90%
30-32	19%	117-120	43%	210-214	67%	320-323	91%
33-36	20%	121-124	44%	215-218	68%	324-328	92%
37-40	21%	125-127	45%	219-223	69%	329-332	93%
41-43	22%	128-131	46%	224-228	70%	333-337	94%
44-47	23%	132-135	47%	229-232	71%	338-342	95%
48-51	24%	136-138	48%	233-237	72%	343-346	96%
52-54	25%	139-142	49%	238-241	73%	347-351	97%
55-58	26%	143-146	50%	242-246	74%	352-355	98%
59-62	27%	147-149	51%	247-250	75%	356-360	99%
63-65	28%	150-153	52%	251-255	76%	361-365	100%

Rules applicable to insurance with terms less than or more than one year:

- A.** If insurance has been in force for one year or less, apply the short rate table for annual insurance to the full annual premium determined as for insurance written for a term of one year.
- B.** If insurance has been in force for more than one year:
 - 1.** Determine full annual premium as for insurance written for a term of one year.
 - 2.** Deduct such premium from the full insurance premium, and on the remainder calculate the pro rata earned premium on the basis of the ratio of the length of time beyond one year the insurance has been in force to the length of time beyond one year for which the policy was originally written.
 - 3.** Add premium produced in accordance with items (1) and (2) to obtain earned premium during full period insurance has been in force.



FLOOD DECLARATIONS PAGE
(Form SLC-3 USA NMA 2868)

Policy #:	Prior Policy #:	Renewal:	Unique Market Ref:
22SSI224PF2024	N/A	YES	B123022STE1352
Policy Period:	Term:	Inception Date:	
03/29/2022—03/29/2023 12:01am (LST)	12 months	03/29/2022 12:01am (LST)	

Agent: Rob Bowen
Patriotic Insurance Group
78 Brookside Ave, Ste 132B
Chester, NY 10918
Ph: 845-610-5700

Insured: Marcus Brandt
17 Prentiss Dr
Hopewell Junction, NY 12533

Insured Location: 2858 New York 52,
Hopewell Junction, NY 12533

Rating Information:		
Flood Zone:	AE	RCV Dwelling: \$250,000
Base Flood Elev:	310.95	Year Built: 1996
Lowest Floor Elev:	311.11	# of Floors: 2
LFE vs BFE:	0.16	Enclosure: none

Coverage / Deductible:	Premium:
Building: \$250,000 / \$5,000	Premium: \$659.00
Other Structures: \$0 / \$5,000	Fees: \$25.00
Contents: \$0 / \$5,000	Stamp: \$1.12
Loss of Use: \$0 / 14-day deductible	Taxes: \$23.72
	Windstorm: \$0.00
	Total: \$708.84

NO FLAT CANCELLATIONS

UNLESS REQUESTED BY UNDERWRITERS

25% Minimum Earned Premium —OR—
Minimum Earned Premium Endorsement

Forms and Endorsements attached hereto and special conditions:

Flood Wording | NMA1998 | NMA1331 | Encl End | FLEND1 | FLEND2 | CF1245 | LMA5021 | LMA5218 |
LMA5219 | LMA3100 | LSW1001 | 664THBNA00119 | LSW1135B | NYSID-41C | NYSID-NELP

Service of Suit made upon:	Notification of Claim to:
Lloyd's America, Inc. 280 Park Ave, East Tower, 25th Flr New York, NY 10017, USA	Sterling Surplus Underwriters (Online Claim) PO Box 176 Madison, MS 39130

Mortgage Detail:

Salisbury Bank and Trust Company ISAOA/ATIMA
P.O. Box 1868
Lakeville, CT 06039
LOAN: 1234

THE INSURER(S) NAMED HEREIN IS (ARE) NOT LICENSED BY THE STATE OF NEW YORK, NOT SUBJECT TO ITS SUPERVISION, AND IN THE EVENT OF THE INSOLVENCY OF THE INSURER(S), NOT PROTECTED BY THE NEW YORK STATE SECURITY FUNDS. THE POLICY MAY NOT BE SUBJECT TO ALL OF THE REGULATIONS OF THE DEPARTMENT OF FINANCIAL SERVICES PERTAINING TO POLICY FORMS.

Insurance is effective with:	
STERLING SURPLUS UNDERWRITERS Coverholder at:	Date: 02/15/2022 By: C. Brad Moncrief, Principal

LLOYD'S

NOTICE! This policy meets the definition of private flood insurance contained in 42 U.S.C. 4012a(b)(7) and the corresponding regulation.

Agreement We will provide the insurance described in this policy in return for the premium and compliance with all applicable provisions of this policy.

If the National Flood Insurance Program for flood insurance to dwellings provides broader coverage than that provided under this insurance, that broader cover will automatically apply to this policy without additional premium charge.

THIS POLICY MEETS ALL OF THE PROVISIONS REQUIRED BY:

National Flood Insurance Act of 1968, as amended; and
Flood Disaster Protection Act of 1973, as amended; and
Biggert Waters Flood Insurance Reform Act of 2012

The 42 U.S.C 4012a(b)(7) refers to US Code Title 42 National Flood Insurance Program Section 4012a(b)(7) (Flood insurance purchase and compliance requirements).

(7) PRIVATE FLOOD INSURANCE DEFINED. In this subsection, the term 'private flood insurance' means an insurance policy that—

Notwithstanding any provision to the contrary within the Policy or any endorsement thereto, it is understood and agreed as follows:

- A. is issued by an insurance company that is—
 - i. licensed, admitted, or otherwise approved to engage in the business of insurance in the State or jurisdiction in which the insured building is located, by the insurance regulator of that State or jurisdiction; or
 - ii. in the case of a policy of difference in conditions, multiple peril, all risk, or other blanket coverage insuring nonresidential commercial property, is recognized, or not disapproved, as a surplus lines insurer by the insurance regulator of the State or jurisdiction where the property to be insured is located;
- B. provides flood insurance coverage which is at least as broad as the coverage provided under a standard flood insurance policy under the national flood insurance program, including when considering deductibles, exclusions, and conditions offered by the insurer;
- C. includes—
 - i. a requirement for the insurer to give 45 days' written notice of cancellation or non-renewal of flood insurance coverage to—
 - i. the insured; and
 - ii. the regulated lending institution or Federal agency lender;
 - ii. information about the availability of flood insurance coverage under the national flood insurance program;
 - iii. a mortgage interest clause similar to the clause contained in a standard flood insurance policy under the national flood insurance program; and
 - iv. a provision requiring an insured to file suit not later than 1 year after date of a written denial of all or part of a claim under the policy; and
- D. contains cancellation provisions that are as restrictive as the provisions contained in a standard flood insurance policy under the national flood insurance program.



CERTIFICATION OF ADEQUACY OF PRIVATE FLOOD INSURANCE

Client Name: **Marcus Brandt**

Risk Address: **2858 New York 52**

City, State, Zip: **Hopewell Junction, NY 12533**

Flood Policy Number: **22SSI224PF2024**

Flood Coverage Amount: **\$250,000.00**

This certification request is based upon the regulatory requirements in the "National Flood Insurance Program - Mandatory Purchase of Flood Insurance Guidelines ("Guidelines") - September 2007" page 58.

When private flood coverage is being considered in lieu of an NFIP policy, a lender should understand and comply with FEMA's criteria (described below) for selection of the private insurer and the form of coverage. A private flood insurance policy that meets all six of the mandatory flood insurance purchase requirements of the 1994 Reform Act. The Standard Flood Insurance Policy (SFIP) is available on the FEMA website at: <http://www.fema.gov/business/nfip/sfip.shtm>.

a. Licensure

The insurer must be licensed, admitted, or otherwise approved to do business in the jurisdiction where the building is located, by the insurance regulator of that jurisdiction, except as indicated in b. below.

b. Surplus Lines Recognition (Non-Residential Commercial)

In the case of non-residential commercial property insurance issued under a policy of difference in conditions, multiple peril, all risk, or other blanket coverage, the insurer should be recognized, or not disapproved as a surplus lines insurer by the insurance regulator of the jurisdiction where the building is located.

c. Requirement of 45-Day Cancellation / Non-Renewal Notice

The private flood insurance policy should include a requirement for the insurer to give 45 days' written notice of cancellation or non-renewal to the insured with respect to the flood insurance coverage. The policy should also state that, to be effective, such notice must be mailed to both the insured and the lender or Federal agency lender, and must include information about the availability of flood insurance coverage under the NFIP. The policy should be as restrictive in its cancellation provision as the SFIP.

d. Breadth of Policy Coverage

The policy must guarantee that the flood insurance coverage considering deductibles, exclusions, and conditions offered by the insurer, is at least as broad as the coverage under the SFIP.

e. Strength of Mortgage Interest Clause

Lenders must ensure that a mortgage interest clause similar to that contained in the General Conditions Section of the SFIP is contained in the policy (not applicable to Residential Condominium Building Association Policies - see Guidance p.45)

f. Legal Recourse

The policy must contain a provision that any suit by the insured regarding denial of all or part of the claim must be filed within 1 year after the date of written denial of all or part of the claim.



YES — The undersigned certifies that this policy meets all of the FEMA standard requirements specified above.



NO — This policy does not meet all of the FEMA standard requirements specified above. If NO, Lender Placement may occur unless an appropriate NFIP policy is received.

Insurance Company: **Sterling Surplus Underwriters**

Address: **PO Box 176, Madison, MS 39130**

Phone Number: **855-227-2202**

Email Address: **brad@sterlingsu.com**

Signature of Insurance Agent Completing Certification:



Insurance Agent's Printed Name: **C Brad Moncrief**

WRITTEN LINES

Facility Number: B123022STE1352 (Section 1)

Underwriters:

- Underwriters at Lloyd's: **100.00%**

TOTAL: 100.00 % of 100%

Lloyds Syndicates:

<u>Percentage</u>	<u>Syndicate</u>
100.0000%	2488 CGM



STANDARD FLOOD INSURANCE POLICY

DWELLING FORM

PLEASE READ THE POLICY CAREFULLY. THE FLOOD INSURANCE PROVIDED IS SUBJECT TO LIMITATIONS, RESTRICTIONS, AND EXCLUSIONS.

THIS POLICY COVERS ONLY:

1. A NON-CONDOMINIUM RESIDENTIAL BUILDING DESIGNED FOR PRINCIPAL USE AS A DWELLING PLACE FOR ONE TO FOUR FAMILIES, OR
2. A SINGLE-FAMILY DWELLING UNIT IN A CONDOMINIUM BUILDING.

I. AGREEMENT

We will pay you **for direct physical loss by or from flood** to your insured property if you:

1. Have paid the correct premium;
2. Comply with all terms and conditions of this **policy**; and
3. Have furnished accurate information and statements.

We have the right to review the information you give us at any time and revise your **policy** based on our review.

II. DEFINITIONS

A. In this **policy**, "you" and "your" refer to the insured(s) shown on the **Declarations Page** of this **policy** and your spouse, if a resident of the same household. "Insured(s)" includes: Any mortgagee and loss payee named in the **Application** and **Declarations Page**, as well as any mortgagee or loss payee determined to exist at the time of loss in the order of precedence. "We," "us," and "our" refer to the insurer.

Some definitions are complex because they are provided as they appear in the law or regulations, or result from court cases. The precise definitions are intended to protect you.

Flood, as used in this flood insurance **policy**, means:

1. A general and temporary condition of partial or complete inundation of two or more acres of normally dry land area or of two or more properties (at least one of which is your property) from:
 - a. Overflow of inland or tidal waters;
 - b. Unusual and rapid accumulation or runoff or surface waters from any source;
 - c. **Mudflow**.
2. Collapse or subsidence of land along the shore of a lake or similar body of water as a result of erosion or undermining caused by waves or currents of water exceeding anticipated cyclical levels that result in a **flood** as defined in **A.1.a.** above.

B. The following are the other key definitions that we use in this **policy**:

1. **Act.** The National Flood Insurance Act of 1968 and any amendments to it.
2. **Actual Cash Value.** The cost to replace an insured item of property at the time of loss, less the value of its physical depreciation.
3. **Application.** The statement made and signed by you or your agent in applying for this **policy**. The **application** gives information we use to determine the eligibility of the risk, the kind of **policy** to be issued, and the correct premium payment. The **application** is part of this flood insurance **policy**. For us to issue you a **policy**, the correct premium payment must accompany the **application**.
4. **Base Flood.** A **flood** having a one percent chance of being equaled or exceeded in any given year.
5. **Basement.** Any area of the **building**, including any sunken room or sunken portion of a room, having its floor below ground level (sub-grade) on all sides.
6. **Building.**
 - a. A structure with two or more outside rigid walls and a fully secured roof, that is affixed to a permanent site;
 - b. A manufactured home (a "manufactured home"0, also known as a mobile home, is a structure: built on a permanent chassis, transported to its site in one or more sections, and affixed to a permanent foundation); or
 - c. A travel trailer without wheels, built on a chassis and affixed to a permanent foundation, that is regulated under the community's floodplain management and building ordinances or laws.

Building does not mean a gas or liquid storage tank or a recreational vehicle, park trailer, or other similar vehicle, except as described in **B.6.c.** above.
7. **Cancellation.** The ending of the insurance coverage provided by this **policy** before the expiration date.
8. **Condominium.** That form of ownership of real property in which each unit owner has an undivided interest in common elements.
9. **Condominium Association.** The entity made up of the **unit** owners responsible for the maintenance and operation of:
 - a. Common elements owned in undivided shares by unit owners; and
 - b. Other real property in which the unit owners have use rights; where membership in the entity is a required condition of **unit** ownership.
10. **Declarations Page.** A computer-generated summary of information you provided in the **application** for insurance. The **Declarations Page** also describes the term of the **policy**, limits of coverage, and displays the premium and our name. The **Declarations Page** is part of this flood insurance **policy**.
11. **Described Location.** The location where the insured **building(s)** or personal property are found. The **described location** is shown on the **Declarations Page**.
12. **Direct Physical Loss By or From Flood.** Loss or damage to insured property, directly caused by a **flood**. There must be evidence of physical changes to the property.
13. **Dwelling.** A **building** designed for use as a residence for no more than four families or a single-family **unit** in a **building** under a **condominium** form of ownership.
14. **Elevated Building.** A building that has no basement and that has its lowest elevated floor raised above ground level by foundation walls, shear walls, posts piers, pilings, or columns.
15. **Improvements.** Fixtures, alterations, installations, or additions comprising part of the insured **dwelling** or the apartment in which you reside.
16. **Mudflow.** A river of liquid and flowing mud on the surfaces of normally dry land areas, as when earth is carried by a current of water. Other earth movements, such as landslide, slope failure, or a saturated

solid mass moving by liquidity down a slope, are not mudflows.

17. **Policy.** The entire written contract between you and us. It includes:
- This printed form;
 - The **application** and **Declarations Page**;
 - Any endorsement(s) that may be issued; and
 - Any renewal certificate indicating that coverage has been instituted for a new **policy** and new **policy** term.

Only one **dwelling**, which you specifically described in the **application**, may be insured under this **policy**.

18. **Pollutants.** Substances that include, but are not limited to, any solid, liquid, gaseous, or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals, and waste. "Waste" includes, but is not limited to materials to be recycled, reconditioned, or reclaimed.
19. **Post-FIRM Building.** A **building** for which construction of substantial improvement occurred after December 31, 1974, or on or after the effective date of an initial Flood Insurance Rate Map (FIRM), whichever is later.
20. **Unit.** A single-family **unit** you own in a **condominium building**.
21. **National Flood Insurance Program (NFIP).** The program of flood insurance coverage and floodplain management administered under the **Act** and applicable Federal regulations in Title 44 of the Code of Federal Regulations, Subchapter B.
22. **Valued Policy.** A **policy** in which the insured and the insurer agree on the value of the property insured, that value being payable in the event of a total loss. The Standard Flood Insurance Policy is not a **valued policy**.

III. PROPERTY COVERED

A. COVERAGE A - BUILDING PROPERTY

We insure against **direct physical loss by or from flood** to:

- The **dwelling** at the **described location**
- Additions and extensions attached to and in contact with the dwelling by means of a rigid exterior wall, a solid load-bearing interior wall, a stairway, an elevated walkway, or a roof. At your option, additions and extensions connected by any of these methods may be separately insured. Additions and extensions attached to and in contact with the **building** by means of a common interior wall that is not a solid load-bearing wall are always considered part of the **dwelling** and cannot be separately insured.
- A detached garage at the **described location**. Coverage is limited to no more than 10 percent of the limit of liability on the **dwelling**. Use of this insurance is at your option but reduces the building limit of liability. We do not cover any detached garage used or held for use for residential (i.e., **dwelling**), business, or farming purposes.
- Materials and supplies to be used for construction, alteration, or repair of the **dwelling** or a detached garage while the materials and supplies are stored in a fully enclosed **building** at the **describe location** or on an adjacent property.
- The following items of property which are covered under Coverage **A** only:
 - Awnings and canopies;
 - Blinds;
 - Built-in dishwashers;

- d. Built-in microwave ovens;
- e. Carpet permanently installed over unfinished flooring;
- f. Central air conditioners;
- g. Elevator equipment;
- h. Fire sprinkler systems;
- i. Walk-in freezers;
- j. Furnaces and radiators;
- k. Garbage disposal units;
- l. Hot water heaters, including solar water heaters;
- m. Light fixtures;
- n. Outdoor antennas and aerials fastened to **buildings**;
- o. Permanently installed cupboards, bookcases, cabinets, paneling, and wallpaper;
- p. Plumbing fixtures;
- q. Pumps and machinery for operating pumps;
- r. Ranges, cooking stoves, and ovens;
- s. Refrigerators; and
- t. Wall mirrors, permanently installed.

6. Items of property in a **building** enclosure below the lowest elevated floor of an elevated post-FIRM building located in Zones A1-A30, AE, AH, AR, AR/A, AR/AE, AR/AH, AR/A1-A30, V1-V30, or VE, or in a **basement**, regardless of the zone. Coverage is limited to the following:
- a. Any of the following items, if installed in their functioning locations and, if necessary for operation, connected to a power source:
 - 1. Central air conditioners;
 - 2. Cisterns and the water in them;
 - 3. Drywall for walls and ceilings in a **basement** and the cost of labor to nail it, unfinished and unfloated and not taped, to the framing;
 - 4. Electrical junction and circuit breaker boxes;
 - 5. Electrical outlets and switches;
 - 6. Elevators, dumbwaiters, and related equipment installed below the base flood elevation after September 30, 1987;
 - 7. Fuel tanks and the fuel in them;
 - 8. Furnaces and hot water heaters;
 - 9. Heat pumps;
 - 10. Nonflammable insulation in a **basement**;
 - 11. Pumps and tanks used in solar energy systems;
 - 12. Stairways and staircases attached to the **building**, not separated from it by elevated walkways;

13. Sump pumps;
14. Water softeners and the chemicals in them, water filters, and faucets installed as an integral part of the plumbing system;
15. Well water tanks and pumps;
16. Required utility connections for any item in this list; and
17. Footings, foundations, posts, pilings, piers, or other foundation walls and anchorage systems required to support a **building**.

b. Clean-up.

B. COVERAGE B - PERSONAL PROPERTY

1. If you have purchased personal property coverage, we insure against **direct physical loss by or from flood** to personal property inside a **building** at the **described location**, if:
 - a. The property is owned by you or your household family members; and
 - b. At you option, the property is owned by guests or servants.

Personal property is also covered for a period of 45 days at another location as set forth in **III.C.2.b.**,
Property Removed to Safety

Personal property in a **building** that is not fully enclosed must be secured to prevent flotation out of the **building**. If the personal property does float out during a **flood**, it will be conclusively presumed that it was not reasonably secured. In that case there is no coverage for such property.

2. Coverage for personal property includes the following property, subject to **B.1.** above, which is covered under Coverage **B** only:
 - a. Air conditioning unit, portable or window type;
 - b. Carpets, not permanently installed, over unfinished flooring;
 - c. Carpets over finished flooring;
 - d. Clothes washers and dryers;
 - e. "Cook-out" grills;
 - f. Food freezers, other than walk-in, and food in any freezer; and
 - g. Portable microwave ovens and portable dishwashers.
3. Coverage for items of property in a **building** enclosure below the lowest elevated floor of an **elevated post-FIRM** building located in Zones A1-A30, AE, AH, AR, AR/A, AR/AE, AR/AH, AR/A1-A30, V1-V30, or VE, or in a **basement**, regardless of the zone, is limited to the following items, if installed in their functioning locations and, if necessary for operation, connected to a power source.
 - a. Air conditioning units, portable or window type;
 - b. Clothes washers and dryers; and
 - c. Food freezers, other than walk-in, and food in any freezer.
4. If you are a tenant and have insured personal property under Coverage **B** in the **policy**, we will cover such property, including your cooking stove or range and refrigerator. The **policy** will also cover **improvements** made or acquired solely at your expense in the **dwelling** or apartment in which you reside, but for not more than 10 percent of the limit of liability shown for personal property on the **Declarations Page**. use of this insurance is at your option but reduces the personal property limit of

liability.

5. If you are the owner of a unit and have insured personal property under Coverage **B** in this **policy**, we will also cover your interior walls, floor, and ceiling (not otherwise covered under a flood insurance **policy** purchased by your **condominium association**) for not more than 10 percent of the limit of liability shown for personal property on the **Declarations Page**. Use of this insurance is at your option but reduces the personal property limit of liability.
6. **Special Limits.** We will pay no more than \$2,500 for any one loss to one or more of the following kinds of personal property:
 - a. Artwork, photographs, collectibles, or memorabilia, including but not limited to, porcelain or other figures, and sports cards;
 - b. Rare books or autographed items;
 - c. Jewelry, watches, precious and semiprecious stones, or articles of gold, silver, or platinum.
 - d. Furs or any article containing fur which represents its principal value; or
 - e. Personal property used in any business.
7. We will pay only for the functional value of antiques.

C. COVERAGE C - OTHER COVERAGES

1. Debris Removal

- a. We will pay the expense to remove non-owned debris on or in insured property and owned debris anywhere.
- b. If you or a member of your household perform the removal work, the value of your work will be based on the Federal Minimum wage.
- c. The coverage does not increase the Coverage A or Coverage B limit of liability.

2. Loss Avoidance Measures

a. Sandbags, Supplies, and Labor

1. We will pay up to \$1,000 for costs you incur to protect the insured **building** from a **flood** or imminent danger of **flood**, for the following:
 - a. Your reasonable expenses to buy:
 - i. Sandbags, including sand to fill them;
 - ii. Fill for temporary levees;
 - iii. Pumps; and
 - iv. Plastic sheeting and lumber used in connection with these items.

- b. The value of work, at the Federal minimum wage, that you or a member of your household perform.

2. This coverage for Sandbags, Supplies, and Labor applies only if damage to insured property by or from **flood** is imminent, and the threat of **flood** damage is apparent enough to lead a person of common prudence to anticipate **flood** damage. One of the following must also occur:

- a. A general and temporary condition of flooding in the area near the **described location** must occur, even if the **flood** does not reach the insured **building**; or

- b. A legally authorized official must issue an evacuation order or other civil order for the community in which the insured **building** is located calling for measures to preserve life and property from the peril of **flood**.

This coverage does not increase the Coverage **A** or Coverage **B** limit of liability.

3. Condominium Loss Assessments

- a. If this **policy** insures a **unit**, we will pay, up to the Coverage A limit of liability, your share of loss assessments charged against you by the **condominium association** in accordance with the **condominium association's** articles of association, declarations and your deed.

The assessment must be made as a result of direct physical loss by or from flood during the **policy** term, to the building's common elements.

- b. We will not pay any loss assessment charged against you:
 1. And the **condominium association** by any governmental body;
 2. That results from a deductible under the insurance purchased by the **condominium association** insuring common elements;
 3. That results from a loss to personal property, including contents of a **condominium building**;
 4. That results from a loss sustained by the **condominium association** that was not reimbursed under a flood insurance **policy** written in the name of the association under the **Act** because the **building** was not, at the time of loss, insured for an amount equal to the lesser of:
 - a. 80 percent or more of its full replacement cost; or
 - b. The maximum amount of insurance permitted under the Act;
 5. To the extent that payment under this policy for a **condominium building** loss, in combination with payments under any other **NFIP and/or Flood Seal policies** for the same building loss, exceeds the maximum amount of insurance permitted under the **Act** for that kind of **building**; or
 6. To the extent that the payment under this policy for a **condominium building** loss, in combination with any recovery available to you as a tenant in common under any **NFIP and/or Flood Seal condominium association policies** for the same **building** loss, exceeds the amount of insurance permitted under the **Act** for a single-family dwelling.

Loss assessment coverage does not increase the Coverage **A** limit of liability.

D. COVERAGE D - INCREASED COST OF COMPLIANCE

1. General

This **policy** pays you to comply with a State or local floodplain management law or ordinance affecting repair or reconstruction of a structure suffering **flood** damage. Compliance activities eligible for payment are: elevation, floodproofing, relocation, or demolition (or any combination of these activities) of your structure. Eligible floodproofing activities are limited to:

- a. Nonresidential structures.
- b. Residential structures with **basements** that satisfy FEMA's standards published in the Code of Federal Regulations {44 CFR 60.6 (b) or (c)}.

2. **Limit of Liability**

We will pay you up to \$30,000 under this Coverage D – Increased Cost of Compliance, which only applies to **policies** with **building** coverage (Coverage **A**). Our payment of claims under Coverage **D** is in addition to the amount of coverage which you selected on the **application** and which appears on the **Declarations Page**. But the maximum you can collect under this **policy** for both Coverage **A** – Building Property and Coverage **D** – Increased Cost of Compliance cannot exceed the maximum permitted under the Act. We do not charge a separate deductible for a claim under Coverage **D**.

3. **Eligibility**

- a. A structure covered under Coverage **A** – Building Property sustaining a loss caused by a **flood** as defined by this policy must:
 1. Be a "repetitive loss structure." A repetitive loss structure is one that meets the following conditions:
 - a. The structure is covered by a contract of flood insurance issued under the **NFIP or Flood Seal Private Flood Policy**.
 - b. The structure has suffered **flood** damage on two **occasions** during a 10-year period which ends on the date of the second loss.
 - c. The cost to repair the **flood** damage, on average, equaled or exceeded 25 percent of the market value of the structure at the time of each flood loss.
 - d. In addition to the current claim, the **NFIP or Flood Seal** must have paid the previous qualifying claim, and the State of community must have a cumulative, substantial damage provision or repetitive loss provision in its floodplain management law or ordinance being enforced against the structure; or
 2. Be a structure that has had **flood** damage in which the cost to repair equals or exceeds 50 percent of the market value of the structure at the time of the **flood**. The State or community must have a substantial damage provision in its flood plain management law or ordinance being enforced against the structure.
- b. This Coverage **D** pays you to comply with State of local floodplain management laws or ordinances that meet the minimum standards of the **National Flood Insurance Program** found in the Code of Federal Regulations at 44 CFR 60.3. We pay for compliance activities that exceed those standards under these conditions:
 1. **3.a.1** above.
 2. Elevation of floodproofing in any risk zone to preliminary of advisory base flood elevations provided by FEMA which the State of local government has adopted and is enforcing for **flood**-damaged structures in such areas. (This includes compliance activities in B, C, X, or D zones which are being changed to zones with base flood elevations. This also includes compliance activities in zones where **base flood** elevations are being increased, and a flood-damaged structure must comply with the higher advisory **base flood** elevation.) Increased Cost of Compliance coverage does not apply to situations in B, C, X, or D zones where the community has derived its own elevations and is enforcing elevation or floodproofing requirements for flood-damaged structures to elevations derived solely by the community.
 3. Elevation or floodproofing above the **base flood** elevation to meet State of local "freeboard" requirements, i.e., that a structure must be elevated above the **base flood** elevation.
- c. Under the minimum **NFIP** criteria at 44 CFR 60.3(b)(4), States and communities must require the elevation or floodproofing of structures in unnumbered A zones to the **base flood** elevation where elevation data is obtained from a Federal, State, or other source. Such compliance activities are also eligible for Coverage **D**.
- d. This coverage will also pay for the incremental cost, after demolition or relocation, of elevating or flood proofing a structure during its rebuilding at the same or another site to meet State or local

floodplain management laws or ordinances, subject to Exclusion **D.5.g.** below.

- e. This coverage will also pay to bring a **flood**-damaged structure into compliance with State or local floodplain management laws or ordinances even if the structure had received a variance before the present loss from the applicable floodplain management requirements.

4. Conditions

- a. When a structure covered under Coverage A – Building Property sustain as a loss caused by a **flood**, our payment for the loss under this Coverage D will be for the increased cost to elevate, floodproof, relocate, or demolish (or any enforcement of current State or local flood plain management ordinances or laws. Our payment for eligible demolition activities will be for the cost to demolish and clear the site of the **building** debris or a portion thereof caused by the enforcement of ordinances or laws. Eligible activities for the cost of clearing the site will include those necessary to discontinue utility service to the site and ensure proper abandonment of on-site utilities.
- b. When the **building** is repaired or rebuilt, it must be intended for the same occupancy as the present **building** unless otherwise required by current floodplain management ordinances or laws.

5. Exclusions

Under this Coverage D – Increased Cost of Compliance, we will not pay for:

- a. The cost to comply with any floodplain management law or ordinance in communities participating in the **Emergency Program**.
- b. The cost associated with enforcement of any ordinance or law that requires any insured or others to test for, monitor, clean up, remove, contain treat, detoxify or neutralize, or in any way respond to, or assess the effects of **pollutants**.
- c. The loss in value to any insured **building** or other structure due to the requirements of any ordinance or law.
- d. The loss in residual value of the undamaged portion of a **building** demolished as a consequence of enforcement of any State or local floodplain management law or ordinance.
- e. Any Increased Cost of Compliance under this Coverage **D**:
 - 1. Until the **building** is elevated, floodproofed, demolished, or relocated on the same or to another premises; and
 - 2. Unless the **building** is elevated, floodproofed, demolished, or relocated as soon as reasonably possible after the loss, not to exceed 2 years (see **3.b.**).
- f. Any code upgrade requirements, e.g., plumbing or electrical wiring, not specifically related to the State of local floodplain management law or ordinance.
- g. Any compliance activities needed to bring additions or **improvements** made after the loss occurred into compliance with State or local floodplain management laws or ordinances.
- h. Loss due to any ordinance or law that you were required to comply with before the current loss.
- i. Any rebuilding activity to standards that do not meet the **NFIP's** minimum requirements. This includes any situation where you have received from the State or community a variance in connection with the current **flood** loss to rebuild the property to an elevation below the **base flood** elevation.
- j. Increased Cost of Compliance for a garage or carport.
- k. Any structure insured under an **NFIP or Flood Seal** Group Flood Insurance Policy.
- l. Assessments made by a **condominium association** on individual **condominium unit** owners to pay increased costs of repairing commonly owned **buildings** after a **flood** in compliance with

State or local floodplain management ordinances or laws.

6. Other Provisions

- a. Increased Cost of Compliance coverage will not be included in the calculation to determine whether coverage meets the 80 percent insurance-to-value requirement for replacement cost coverage as set forth in **VII. General Conditions, VIII. Loss Settlement.**
- b. All other conditions and provisions of this **policy** apply.

IV. PROPERTY NOT COVERED

We do not cover any of the following property:

1. Personal property not inside the fully enclosed **building**;
2. A **building**, and personal property in it, located entirely in, on, or over water or seaward of mean high tide if it was constructed or substantially improved after September 30, 1982;
3. Open structures, including a **building** used as a boathouse or any structure or **building** into which boats are floated, and personal property located in, on, or over water;
4. Recreational vehicles other than travel trailers described in **II.B.6.c.**, whether affixed to a permanent foundation or on wheels;
5. Self-propelled vehicles or machines, including their parts and equipment. However, we do cover self-propelled vehicles or machines not licensed for use on public roads that are:
 - a. Used mainly to service the described location, or
 - b. Designed and used to assist handicapped persons,

While the vehicles or machines are inside a **building** at the **described location**;

6. Land, land values, lawns, trees, shrubs, plants, growing crops, or animals.
7. Accounts, bills, coins, currency, deeds, evidences of debt, medals, money, scrip, stored value cards, postage stamps, securities, bullion, manuscripts, or other valuable papers;
8. Underground structures and equipment, including wells, septic tanks, and septic systems;
9. Those portions of walks, walkways, decks, driveways, patios, and other surfaces, all whether protected by a roof or not, located outside the perimeter, exterior walls of the insured **building** or the **building** in which the insured **unit** is located;
10. Containers, including related equipment, such as, but not limited to, tanks containing gases or liquids;
11. **Buildings** or **units** if more than 49 percent of the **actual cash value** of the **building** or **unit** is below ground, unless the lowest level is at or above the **base flood** elevation and is below ground by reason of earth having been used as insulation material in conjunction with energy efficient building techniques;
12. Fences, retaining walls, seawalls, bulkheads, wharves, piers, bridges, and docks;
13. Aircraft or watercraft, or their furnishings and equipment;
14. Hot tubs and spas that are not bathroom fixtures, and swimming pools, and their equipment such as, but not limited to, heaters, filters, pumps, and pipes, wherever located;
15. Personal property you own in common with other unit owners comprising the membership of a condominium association.

V. EXCLUSIONS

- A.** We only provide coverage for direct physical loss by or from flood, which means that we do not pay you for:
1. Loss of revenue of profits;
 2. Loss of access to the insured property of **described location**;
 3. Loss of use of the insured property or **described location**;
 4. Loss from interruption of business of production;
 5. Any additional living expenses incurred while the insured **building** is being repaired or is unable to be occupied for any reason
 6. The cost of complying with any ordinance or law requiring or regulation the construction, demolition, remodeling, renovation, or repair of property, including removal of any resulting debris. This exclusion does not apply to any eligible activities that we describe in Coverage **D** – Increased Cost of Compliance; or
 7. Any other economic loss.
- B.** We do not insure a loss directly or indirectly caused by a flood that is already in progress at the time and date:
1. The policy term begins; or
 2. Coverage is added at your request.
- C.** We do not insure for loss to property caused directly by earth movement even if the earth movement is caused by flood. Some examples of earth movement that we do not cover are:
1. Earthquake;
 2. Landslide;
 3. Land subsidence;
 4. Sinkholes;
 5. Destabilization or movement of land that results from accumulation of water in subsurface land area; or
 6. Gradual erosion.

We do, however, pay for losses from **mudflow** and land subsidence as a result of erosion that are specifically covered under our definition of **flood** (see **II.A.1.c.** and **II.A.2.**).

- D.** We do not insure for direct physical loss caused directly or indirectly by any of the following:
1. The pressure or weight of ice;
 2. Freezing or thawing;
 3. Rain, snow, sleet, hail, or water spray;
 4. Water, moisture, mildew, or mold damage that results primarily from any condition:
 - a. Substantially confined to the **dwelling**; or
 - b. That is within your control, including but not limited to:
 1. Design, structural, or mechanical defects;

2. Failure, stoppage, or breakage of water or sewer lines, drains, pumps, fixtures, or equipment; or
 3. Failure to inspect and maintain the property after a **flood** recedes;
5. Water or waterborne material that:
- a. Backs up through sewers or drains;
 - b. Discharges or overflows from a sump, sump pump, or related equipment; or
 - c. Seeps or leaks on or through the covered property;
- unless there is a flood in the area and the flood is the proximate cause of the sewer or drain backup, sump pump discharge or overflow, or seepage of water;
6. The pressure or weight of water unless there is a **flood** in the area and the **flood** is the proximate cause of the damage from the pressure or weight of the water;
 7. Power, heating, or cooling failure unless the failure results from **direct physical loss by or from flood** to power, heating, or cooling equipment on the **described location**;
 8. Theft, fire, explosion, wind, or windstorm;
 9. Anything you or any member of your household do or conspire to do to cause loss by **flood** deliberately; or
 10. Alteration of the insured property that significantly increases the risk of flooding.

E. We do not pay for the testing for or monitoring of **pollutants** unless required by law or ordinance.

VI. DEDUCTIBLES

A. When a loss is covered under this **policy**, we will pay only that part of the loss that exceeds your deductible amount, subject to the limit of liability that applies. The deductible amount is shown on the **Declarations Page**.

However, when a **building** under construction, alteration, or repair does not have at least two rigid exterior walls and a fully secured roof at the time of loss, your deductible amount will be two times the deductible that would otherwise apply to a completed **building**.

B. In each loss from **flood**, separate deductibles apply to the **building** and personal property insured by this **policy**.

C. The deductible does not apply to:

1. **III.C.2.** Loss Avoidance Measures;
2. **III.C.3.** Condominium Loss Assessments; or
3. **III.D.** Increased Cost of Compliance.

VII. GENERAL CONDITIONS

A. Pairs and Sets

In case of loss to an article that is part of a pair or set, we will have the option of paying you:

1. An amount equal to the cost of replacing the lost, damaged, or destroyed article, minus its depreciation; or
2. The amount that represents the fair proportion of the total value of the pair or set that the lost,

damaged, or destroyed article bears to the pair or set.

B. Concealment or Fraud and Policy Voidance

1. With respect to all insureds under this **policy**, this **policy**:
 - a. Is void;
 - b. Has no legal force or effect;
 - c. Cannot be renewedif, before or after a loss, you or any other insured or your agent have at any time:
 1. Intentionally concealed or misrepresented any material fact of circumstance;
 2. Engaged in fraudulent conduct;
 3. Made false statements; relating to this policy or any other **NFIP or Flood Seal Insurance Policy**.
2. This policy will be void as of the date the wrongful act described in **B.1.** above were committed.
3. Fines, civil penalties, and imprisonment under applicable Federal laws may also apply to the act of fraud or concealment describe above.
4. This policy is also void for reasons other than fraud, misrepresentation, or wrongful act.

C. Other Insurance

1. If a loss covered by this **policy** is also covered by other insurance that includes **flood** coverage not issued under the **Act**, we will not pay more than the amount of insurance that you are entitle to for lost, damaged, or destroyed property insured under this policy subject to the following:
 - a. We will pay only the proportion of the loss that the amount of insurance that applies under this **policy** bears to the total amount of insurance covering the loss, unless **C.1.b.** or **c.**
 - b. If the other **policy** has a provision stating that it is excess insurance, this **policy** will be primary.
 - c. This **policy** will be primary (but subject to its own deductible) up to the deductible in the other **flood policy** (except another **policy** as described in **C.1.b.** above.) When the other deductible amount is reached, this policy will participated in the same proportion that the amount of insurance under this **policy** bears to the total amount of both policies, for the remainder of the loss.
2. If there is the other insurance in the name of your **condominium association** covering the same property covered by this **policy**, then this **policy** will be in excess over the other insurance.

D. Amendments, Waivers, Assignment

This **policy** cannot be changed not can any of its provisions be waived without the express written consent of the Federal Insurance Administrator. No action that we take under the terms of this **policy** constitutes a waiver of any of you rights. You may assign this **policy** in writing when you transfer title of your property to someone else, except under these conditions:

1. When this **policy** covers only personal property; or
2. When this **policy** covers a structure during the course of construction.

E. Cancellation of Policy by You

1. You may cancel this **policy** in accordance with the applicable rules and regulations of the **NFIP**.

2. If your **building** has been declared ineligible under Section 1316 of the **Act**.

F. Nonrenewal of the Policy by Us

Your **policy** will not be renewed if there has been a material change to the risk prior to the renewal date.

G. Policy Renewal

This **policy** will expire at 12:01 a.m. on the last day of the **policy** term.

H. Conditions Suspending or Restricting Insurance

We are not liable for loss that occurs while there is a hazard that is increased by any means within your control or knowledge.

I. Requirements in Case of Loss

In case of a flood loss to insured property, you must:

1. Give prompt written notice to us;
2. As soon as reasonably possible, separate the damaged and undamaged property, putting it in the best possible order so that we may examine it;
3. Prepare an inventory of damaged property showing the quantity, description, **actual cash value**, and amount of loss. Attach all bills, receipts, and related documents;
4. Within 60 days after the loss, send us a proof of loss, which is your statement of the amount you are claiming under the policy signed and sworn to by you, and which furnishes us with the following information:
 - a. The date and time of loss;
 - b. A brief explanation of how the loss happened;
 - c. Your interest (for example, "owner") and the interest, if any, of others in the damaged property;
 - d. Details of any other insurance that may cover the loss;
 - e. Changes in title or occupancy of the covered property during the term of the **policy**.
 - f. Specifications of damaged **buildings** and detailed repair estimated;
 - g. Names of mortgagees or anyone else having a lien, charge, or claim against the covered property;
 - h. Details about who occupied any insured **building** at the time of loss and for what purpose; and
5. In completing the proof of loss, you must use your own judgment concerning the amount of loss and justify that amount.
6. You must cooperate with the adjuster or representative in the investigation of the claim.
7. The insurance adjuster whom we hire to investigate your claim may furnish you with a proof of loss form, and she or he may help you complete it. However, this is a matter of courtesy only, and you must still send us a proof of loss within 60 days after the loss even if the adjuster does not furnish the form or help you complete it.
8. We have not authorized the adjuster to approve or disapprove claims or to tell you whether we will approve your claim.
9. At our option, we may accept the adjuster's report of the loss instead of your proof of loss. The adjuster's report will include information about your loss and the damages you sustained. You must sign the adjuster's report. At our option, we may require you to swear to the report.

J. Our Options After a Loss

Options we may, in our sole discretion, exercise after loss include the following:

1. At such reasonable times and places that we may designate, you must:
 - a. Show us or our representative the damaged property;
 - b. Submit to examination under oath, while not in the presence of another insured, and sign the same; and
 - c. Permit us to examine and make extracts and copies of:
 1. Any policies of property insurance insuring you against loss and the deed establishing your ownership of the insured real property;
 2. **Condominium association** documents including the Declarations of the **condominium**, its Articles of Association or Incorporation, its Articles of Association or Incorporation, Bylaws, rules and regulations, and other relevant documents if you are a **unit** owner in a **condominium building**; and
 3. All books of accounts, bills, invoices and other vouchers, or certified copies pertaining to the damaged property if the original are lost.
2. We may request, in writing, that you furnish us with a complete inventory of the lost, damaged, or destroyed property, including:
 - a. Quantities and costs;
 - b. **Actual cash values** or replacement cost (whichever is appropriate);
 - c. Amounts of loss claimed;
 - d. Any written plans and specifications for repair of the damaged property that you can reasonably make available to us; and
 - e. Evidence that prior **flood** damage has been repaired.
3. If we give you written notice within 30 days after we receive your signed, sworn proof of loss, we may:
 - a. Repair, rebuild, or replace any part of the lost, damaged, or destroyed property with material or property of like kind and quality or its functional equivalent; and
 - b. Take all or any part of the damaged property at the value we agree upon or its appraised value.

K. No Benefit to Bailee

No person or organization, other than you, having custody of covered property will benefit from this insurance.

L. Loss Payment

1. We will adjust all losses with you. We will pay you unless some other person or entity is named in the **policy** or is legally entitled to receive payment. Loss will be payable 60 days after we receive your proof of loss (or within 90 days after the insurance adjuster files an adjuster's report signed and sworn to by you in lieu of a proof of loss) and:
 - a. We reach an agreement with you;
 - b. There is an entry of a final judgment; or
 - c. There is a filing of an appraisal award with us, as provided in **VII.O**.

M. Abandonment

You may not abandon to us damaged or undamaged property insured under this **policy**.

N. Salvage

We may permit you to keep damaged insured property after a loss, and we will reduce the amount of the loss proceeds payable to you under the **policy** by the value of the salvage.

O. Appraisal

If you and we fail to agree on the **actual cash value** or, if applicable, replacement cost of your damaged property to settle upon the amount of the loss, then either may demand an appraisal of the loss. In this event, you and we will each choose a competent and impartial appraiser within 20 days after receiving a written request from the other. The two appraisers will choose an umpire. If they cannot agree upon an umpire within 15 days, you or we may request that the choice be made by a judge of a court of record in the State where the covered property is located. The appraisers will separately state the **actual cash value**, the replacement cost, and the amount of loss to each item. If the appraisers submit a written report of an agreement to us, the amount agreed upon will be the amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will set the amount of **actual cash value** and loss or if it applies the replacement cost and loss.

Each party will:

1. Pay its own appraiser; and
2. Bear the other expenses of the appraisal and umpire equally.

P. Mortgage Clause

The word "mortgagee" includes trustee.

Any loss payable under Coverage **A** – Building Property will be paid to any mortgagee of whom we have actual notice as well as any other mortgagee of loss payee determined to exist at the time of loss, and you, as interests appear. If more than one mortgagee is named, the order of payment will be the same as the order of precedence of the mortgages.

If we deny your claim, that denial will not apply to a valid claim of the mortgagee, if the mortgagee:

1. Notifies us of any change in the ownership of occupancy, or substantial change in risk of which the mortgagee is aware;
2. Pays any premium due under this **policy** on demand if you have neglected to pay the premium; and
3. Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so.

All of the terms of this policy apply to the mortgagee.

The mortgagee has the right to receive loss payment even if the mortgagee has started foreclosure or similar action on the **building**.

If we decide to cancel or not renew this **policy**, it will continue in effect for the benefit of the mortgagee only for 30 days after we notify the mortgagee of the cancellation or nonrenewal.

If we pay the mortgagee for any loss and deny payment to you, we are subrogated to all the rights of the mortgagee granted under the mortgage on the property. Subrogation will not impair the right of the mortgagee to recover the full amount of the mortgagee's claim.

Q. Suit Against Us

You may not sue us to recover money under this **policy** unless you have complied with all the requirements of the **policy**. If you do sue, you must start the suit within 1 year after the date of the written denial of all or part of the claim, and you must file the suit in the United States District Court of the district in which the insured property was located at the time of loss. This requirement applies to any claim that you may have under this policy and to any dispute that you may have arising out of the handling of any claim under the **policy**.

R. Subrogation

Whenever we make a payment for a loss under this policy, we are subrogated to your right to recover for that loss from any other person. That means that your right to recover for a loss that was partly or totally caused by someone else is automatically transferred to us, to the extent that we have paid you for the loss. We may require you to acknowledge this transfer in writing. After the loss, you may not give up our right to recover this money or do anything that would prevent us from recovering it. If you make any claim against any person who caused your loss and recover any money, you must pay us back first before you may keep any of that money.

S. Duplicate Policies Not Allowed

1. We will not insure your property under more than one NFIP or Flood Seal Policy.

If we find that the duplication was not knowingly created, we will give you written notice. The notice will advise you that you may choose one of several options under the following procedures:

- a. If you choose to keep in effect the **policy** with the earlier effective date, you may also choose to add the coverage limits of the later **policy** to the limits of the earlier **policy**. The change will become effective as of the effective date of the later **policy**.
- b. If you choose to keep in effect the **policy** with the later effective date, you may also choose to add the coverage limits of the earlier **policy** to the limits of the later **policy**. The change will be effective as of the effective date of the later **policy**.

In either case, you must pay the pro rata premium for the increased coverage limits within 30 days of the written notice. In no event will the resulting coverage limits exceed the permissible limits of coverage under the Act or your insurable interest, whichever is less.

We will make a refund to you, according to applicable rules, of the premium for the policy not being kept in effect.

2. Your option under Condition **U. Duplicate Policies Not Allowed** to elect which **NFIP or Flood Seal policy** to keep in effect does not apply when duplicates have been knowingly created. Losses occurring under such circumstances will be adjusted according to the terms and conditions of the earlier **policy**. The **policy** with the later effective date will be canceled.

VIII. Loss Settlement

1. Introduction

This **policy** provides two methods of settling losses: Replacement Cost and **Actual Cash Value**. Each method is used for a different type of property, as explained in **a.-c.** below.

- a. Replacement Cost loss settlement, described in **VIII.2** below, applies to a single-family **dwelling** provided:
 1. At the time of loss, the amount of insurance in this **policy** that applies to the **dwelling** is 80 percent of more of its full replacement cost immediately before the loss, or is the maximum amount of insurance available under the **policy**.
- b. **Actual Cash Value** loss settlement applies to a single-family **dwelling** not subject to replacement cost, and to the property listed in **VIII.3.** below.

2. Replacement Cost Loss Settlement

The following loss settlement conditions apply to a single-family **dwelling** described in **VIII.1.a.** above:

- a. We will pay to repair or replace the damaged **dwelling** after application of the deductible and without

deduction for depreciation, but not more than the least of the following amounts:

1. The **building** limit of liability shown on your **Declarations Page**;
 2. The replacement cost of that part of the **dwelling** damaged, with materials of like kind and quality, and for like use; or
 3. The necessary amount actually spent to repair or replace the damaged part of the **dwelling** for like use.
- b. If the **dwelling** is rebuilt at a new location, the cost described above is limited to the cost that would have been incurred if the **dwelling** had been rebuilt at its former location.
- c. When the full cost of repair or replacement is more than \$1000 or more than 5 percent of the whole amount of insurance that applies to the **dwelling**, we will not be liable for any loss under **VIII.2.a.** above of **VIII.3.a.(2)** below unless and until actual repair or replacement is completed.
- d. You may disregard the replacement cost conditions above and make claim under this **policy** for loss to **dwellings** on an **actual cash value** basis. You may then make claim for any additional liability according to **VIII.2.a., b., and c.** above, provided you notify us of your intent to do so within 180 days after the date of loss.

3. Actual Cash Value Loss Settlement

The types of property noted below are subject to **actual cash value** [or in the case of **VIII.3.a.2** below, proportional] loss settlement.

- a. A **dwelling**, at the time of loss, when the amount of insurance on the **dwelling** is both less than 80 percent of its full replacement cost immediately before the loss and less than the maximum amount of insurance available under the **policy**. In that case, we will pay the greater of the following amounts, but not more than the amount of insurance that applies to that **dwelling**:
1. The **actual cash value**, as defined in **II.B.2.**, of the damaged part of the **dwelling**; or
 2. A proportion of the cost to repair or replace the damaged part of the **dwelling**, without deduction for physical depreciation and after application of the deductible.

This proportion is determined as follows: If 80 percent of the full replacement cost of the **dwelling** is less than the maximum amount of insurance available under the **policy**, then the proportion is determined by dividing the actual amount of insurance on the **dwelling** by the amount of insurance that represents 80 percent of its full replacement cost. But if 80 percent of the full replacement cost of the **dwelling** is greater than the maximum amount of insurance available under the **policy**, then the proportion is determined by dividing the actual amount of insurance on the **dwelling** by the maximum amount of insurance available under the **policy**.

- b. A two-, three-, or four-family **dwelling**.
- c. A **unit** that is not used exclusively for single-family **dwelling** purposes.
- d. Detached garages.
- e. Personal property.
- f. Appliances, carpets, and carpet pads.
- g. Outdoor awnings, outdoor antennas or aerials of any type, and other outdoor equipment.
- h. Any property covered under this **policy** that is abandoned after a loss and remains as debris anywhere on the **described location**.

4. Amount of Insurance Required

To determine the amount of insurance required for a **dwelling** immediately before the loss, do not include the value of:

- a. Footings, foundations, piers, or any other structures or devices that are below the undersurface of the lowest basement floor and support all or part of the **dwelling**;
- b. Those supports listed in **VIII.4.a.** above that are below the surface of the ground inside the foundation walls if there is no basement; and
- c. Excavations and underground flues, pipes, wiring, and drains.

The Coverage **D** – Increased Cost of Compliance limit of liability is not included in the determination of the amount of insurance required.

IX. LIBERALIZATION CLAUSE

If we make a change that broadens your coverage under this edition of your **policy**, but does not require any additional premium, then that change will automatically apply to your insurance as of the date we implement the change, provided that this implementation date falls within 60 days before, or during, the **policy** term stated on the **Declarations Page**.

CLAIM GUIDELINES IN CASE OF A FLOOD

In the event of a claim, please notify the following:

**Sterling Surplus Underwriters
PO Box 176
Madison, MS 39130**

email: info@sterlingsu.com

SERVICE OF SUIT CLAUSE (U.S.A.)

It is agreed that in the event of the failure of the Underwriters hereon to pay any amount claimed to be due hereunder, the Underwriters hereon, at the request of the Insured (or Reinsured), will submit to the jurisdiction of a Court of competent jurisdiction within the United States. Nothing in this Clause constitutes or should be understood to constitute a waiver of Underwriters' rights to commence an action in any Court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any State in the United States.

It is further agreed that service of process in such suit may be made upon Lloyd's America, Inc., 280 Park Ave, East Tower, 25th Flr, New York, NY 10017, USA, and that in any suit instituted against any one of them upon this contract, Underwriters will abide by the final decision of such Court or of any Appellate Court in the event of an appeal.

The above-named are authorized and directed to accept service of process on behalf of Underwriters in any such suit and/or upon the request of the Insured (or Reinsured) to give a written undertaking to the Insured (or Reinsured) that they will enter a general appearance upon Underwriters' behalf in the event such a suit shall be instituted.

Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefor, Underwriters hereon hereby designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Insured (or Reinsured) or any beneficiary hereunder arising out of this contract of insurance (or reinsurance), and hereby designate the above-named as the person to whom the said officer is authorized to mail such process or a true copy thereof.

24/04/1986
NMA1998

U.S.A. AND CANADA

CANCELLATION CLAUSE

(Approved by Lloyd's Underwriters' Non-Marine Association)

NOTWITHSTANDING anything contained in this Insurance to the contrary this Insurance may be cancelled by the Assured at any time by written notice or by surrender of this contract of insurance. This Insurance may also be cancelled by or on behalf of the Underwriters by delivering to the Assured or by mailing to the Assured, by registered, certified or other first class mail, at the Assured's address as shown in this Insurance, written notice stating when, not less than 45 days thereafter, the cancellation shall be effective. The mailing of such notice as aforesaid shall be sufficient proof of notice and this Insurance shall terminate at the date and hour specified in such notice.

If this Insurance shall be cancelled by the Assured the Underwriters shall retain the customary short rate proportion of the premium hereon, except that if this Insurance is on an adjustable basis the Underwriters shall receive the earned premium hereon or the customary short rate proportion of any minimum premium stipulated herein whichever is the greater.

If this Insurance shall be cancelled by or on behalf of the Underwriters the Underwriters shall retain the pro rata proportion of the premium hereon, except that if this Insurance is on an adjustable basis the Underwriters shall receive the earned premium hereon or the pro rata proportion of any minimum premium stipulated herein whichever is the greater.

Payment or tender of any unearned premium by the Underwriters shall not be a condition precedent to the effectiveness of Cancellation but such payment shall be made as soon as practicable.

If the period of limitation relating to the giving of notice is prohibited or made void by any law controlling the construction thereof, such period shall be deemed to be amended so as to be equal to the minimum period of limitation permitted by such law.

20/4/61

N.M.A.1331

Dwelling Enclosure Extension Endorsement

It is hereby noted and agreed that this policy will cover **direct physical loss or damage** to any **enclosure** that the dwelling has up to a Special Limit of USD 2,500, each loss. This Special Limit is in respect of coverage under **Buildings** only.

1. The Special Limit is only applicable to dwellings that are NFIP designated Diagram 5 or 6 dwellings
2. The Special Limit is only applicable to enclosures that are not used as living space
3. The Special Limit does not provide any coverage for Personal Property
4. The Special Limit does not increase the overall policy limit of the **Buildings** coverage which is shown on the declaration page.

The following definition is added to this policy:

Enclosure, means an enclosed area below the lowest floor of an **Elevated Building** at the **Described Location**.

All other terms and conditions remain unchanged.

ENDORSEMENT

Policy Number:	<u>22SSI224PF2024</u>	Unique Market Reference:	<u>B123022STE1352</u>
Endorsement Reference:	<u></u>		
Insured:	<u>Marcus Brandt</u>		

FLOOD LENDER'S ENDORSEMENT NUMBER 1

Requirement of 45 - Day Cancellation / Non-Renewal Notice

It is hereby noted and agreed that the insurer agrees to give 45 days' written notice of cancellation or non-renewal to the insured with respect to the flood insurance coverage. The notice of cancellation / non-renewal shall be mailed to both the insured and the lender.

It is further noted that agreed that the following sentence in 'NMA 1331 U.S.A. and Canada Cancellation Clause' is amended **from:**

This Insurance may also be cancelled by or on behalf of the Underwriters by delivering to the Assured or by mailing to the Assured, by registered, certified or other first class mail, at the Assured's address as shown in this Insurance, written notice stating when, not less than 30 days thereafter, the cancellation shall be effective.

to the following:

This Insurance may also be cancelled by or on behalf of the Underwriters by delivering to the Assured or by mailing to the Assured, by registered, certified or other first class mail, at the Assured's address as shown in this Insurance, written notice stating when, not less than 45 days thereafter, the cancellation shall be effective.

Settlement Due Date -

In the absence of anything to the contrary, the Settlement Due Date shall be calculated as being 75 days from the end of the month in which this endorsement becomes effective

Allocation of Premium to coding to be as per original slip

ENDORSEMENT

Policy Number:	22SSI224PF2024	Unique Market Reference:	B123022STE1352
Endorsement Reference:			
Insured:	Marcus Brandt		

FLOOD LENDER'S ENDORSEMENT NUMBER 2

Suit Against Us

It is hereby noted and agreed that any suit brought by the insured against us, regarding denial of all, or part of any claim against us, must be filed within 1 year after the date of written denial of all or part of the claim. This suit must be filed in the United States District Court of the District in which the insured property was located in at the time of the loss.

Settlement Due Date –

In the absence of anything to the contrary, the Settlement Due Date shall be calculated as being 75 days from the end of the month in which this endorsement becomes effective

Allocation of Premium to coding to be as per original slip

MORTGAGE CLAUSE

(APPLIES ONLY TO BUILDING ITEMS AND IS EFFECTIVE ONLY WHEN POLICY IS MADE PAYABLE TO A NAMED MORTGAGEE OR TRUSTEE)

Named Mortgagee hereon: As defined in the Conditions herein

Loss or damage, if any, under this policy, shall be payable to the mortgagee (or trustee), named herein as interest may appear, under all present or future mortgages upon the property herein described in which the aforesaid may have an interest as mortgagee (or trustee) in order of precedence of said mortgages, and this insurance, as to the interest of the mortgagee (or trustee) only therein, shall not be invalidated by any act or neglect of the mortgagor or owner of the within described property, nor by any foreclosure or other proceedings nor notice of sale relating to the property, nor by any change in the titled or ownership of the property, nor by the occupation of the premises for purposes more hazardous than are permitted by this policy; provided, that in case the mortgagor or owner shall neglect to pay any premium due under this policy, the mortgagee (or trustee) shall, on demand, pay the same.

PROVIDED, ALSO, THAT THE MORTGAGEE (OR TRUSTEE) SHALL NOTIFY THIS COMPANY OF ANY CHANGE OR OWNERSHIP OR OCCUPANCY OR INCREASE OF HAZARD WHICH SHALL COME TO THE KNOWLEDGE OF SAID MORTGAGEE (OR TRUSTEE) AND, UNLESS PERMITTED BY THIS POLICY, IT SHALL BE NOTED THEREON AND THE MORTGAGEE (OR TRUSTEE) SHALL, ON DEMAND, PAY THE PREMIUM FOR SUCH INCREASED HAZARD FOR THE TERM OF THE USE THEREOF, OTHERWISE THIS POLICY SHALL BE NULL AND VOID.

THIS COMPANY RESERVES THE RIGHT TO CANCEL THIS POLICY AT ANY TIME AS PROVIDED BY ITS TERMS, BUT IN SUCH CASE THIS POLICY SHALL CONTINUE IN FORCE FOR THE BENEFIT ONLY OF THE MORTGAGEE (OR TRUSTEE) FOR 10 DAYS AFTER NOTICE TO THE MORTGAGEE (OR TRUSTEE) OF SUCH CANCELLATION AND SHALL THEN CEASE, AND THIS COMPANY SHALL HAVE THE RIGHT, ON LIKE NOTICE, TO CANCEL THIS AGREEMENT.

Whenever this Company shall pay the mortgagee (or trustee) any sum for loss under this policy and shall claim that, as to the mortgagor or owner, no liability therefore existed, this Company shall, to the extent of such payment, be thereupon legally subrogated to all the rights of the party to whom such payment shall be made, under all securities held as collateral to the mortgage debt, or may, at its option, pay to the mortgagee (or trustee) the whole principal due or to grow due on the mortgage with interest and shall thereupon receive a full assignment and transfer of the mortgage and of all such other securities; but no subrogation shall impair the right of the mortgage (or trustee) to recover the full amount of said mortgagee's (or trustee) claim.

This Endorsement must be attached to Change Endorsement when issued after the Policy is written.

APPLICABLE LAW (U.S.A.)

This Insurance shall be subject to the applicable state law to be determined by the court of competent jurisdiction as determined by the provisions of the Service of Suit Clause (U.S.A.)

14/09/2005

LMA5021

Form approved by Lloyd's Market Association

**U.S. Terrorism Risk Insurance Act of 2002 as amended
New & Renewal Business Endorsement**

This Endorsement is issued in accordance with the terms and conditions of the "U.S. Terrorism Risk Insurance Act of 2002" as amended, as summarized in the disclosure notice.

In consideration of an additional premium of USD 500 paid, it is hereby noted and agreed with effect from inception that the Terrorism exclusion to which this Insurance is subject, shall not apply to any "insured loss" directly resulting from any "act of terrorism" as defined in the "U.S. Terrorism Risk Insurance Act of 2002", as amended ("TRIA").

The coverage afforded by this Endorsement is only in respect of any "insured loss" of the type insured by this Insurance directly resulting from an "act of terrorism" as defined in TRIA. The coverage provided by this Endorsement shall expire at 12:00 midnight December 31, 2020, the date on which the TRIA Program is scheduled to terminate, or the expiry date of the policy whichever occurs first, and shall not cover any losses or events which arise after the earlier of these dates. The Terrorism exclusion, to which this Insurance is subject, applies in full force and effect to any other losses and any act or events that are not included in said definition of "act of terrorism".

This Endorsement only affects the Terrorism exclusion to which this Insurance is subject. All other terms, conditions, insured coverage and exclusions of this Insurance including applicable limits and deductibles remain unchanged and apply in full force and effect to the coverage provided by this Insurance.

Furthermore the Underwriter(s) will not be liable for any amounts for which they are not responsible under the terms of TRIA (including subsequent action of Congress pursuant to the Act) due to the application of any clause which results in a cap on the Underwriter's liability for payment for terrorism losses.

LMA5218

12 January 2015

**U.S. Terrorism Risk Insurance Act of 2002 as amended
Not Purchased Clause**

This Clause is issued in accordance with the terms and conditions of the "U.S. Terrorism Risk Insurance Act of 2002" as amended as summarized in the disclosure notice.

It is hereby noted that the Underwriters have made available coverage for "insured losses" directly resulting from an "act of terrorism" as defined in the "U.S. Terrorism Risk Insurance Act of 2002", as amended ("TRIA") and the Insured has declined or not confirmed to purchase this coverage.

This Insurance therefore affords no coverage for losses directly resulting from any "act of terrorism" as defined in TRIA except to the extent, if any, otherwise provided by this policy.

All other terms, conditions, insured coverage and exclusions of this Insurance including applicable limits and deductibles remain unchanged and apply in full force and effect to the coverage provided by this Insurance.

LMA5219

12 January 2015

WAR AND CIVIL WAR EXCLUSION CLAUSE

Notwithstanding anything to the contrary contained herein this Policy does not cover Loss or Damage directly or indirectly occasioned by, happening through or in consequence of war, invasion, acts of foreign enemies, hostilities (whether war be declared or not), civil war, rebellion, revolution, insurrection, military or usurped power or confiscation or nationalisation or requisition or destruction of or damage to property by or under the order of any government or public or local authority.

1/1/38
NMA464

**RADIOACTIVE CONTAMINATION EXCLUSION CLAUSE -
PHYSICAL DAMAGE - DIRECT**

This Policy does not cover any loss or damage arising directly or indirectly from nuclear reaction nuclear radiation or radioactive contamination however such nuclear reaction nuclear radiation or radioactive contamination may have been caused * NEVERTHELESS if Fire is an insured peril and a Fire arises directly or indirectly from nuclear reaction nuclear radiation or radioactive contamination any loss or damage arising directly from that Fire shall (subject to the provisions of this Policy) be covered EXCLUDING however all loss or damage caused by nuclear reaction nuclear radiation or radioactive contamination arising directly or indirectly from that Fire.

* NOTE. - If Fire is not an insured peril under this Policy the words "NEVERTHELESS" to the end of the clause do not apply and should be disregarded.

7/5/59
NMA1191

BIOLOGICAL OR CHEMICAL MATERIALS EXCLUSION

It is agreed that this Insurance excludes loss, damage, cost or expense of whatsoever nature directly or indirectly caused by, resulting from or in connection with the actual or threatened malicious use of pathogenic or poisonous biological or chemical materials regardless of any other cause or event contributing concurrently or in any other sequence thereto.

06/02/03
NMA2962

FINANCIAL CRIME ENDORSEMENT
(For attachment to LMA3113, LMA3114 & LMA3115, or Multi Year variants thereof)

By this endorsement the Binding Authority Agreement is amended as follows -

1. By replacing existing SECTION 34 with the following:

SECTION 34

COMPLIANCE WITH THE LAW AND FINANCIAL CRIME

34.1 — Without prejudice to any of the rights or obligations otherwise specified in the Agreement, the Coverholder shall comply with all applicable laws for the legal and proper solicitation and handling of all insurances bound or intended to be bound, and shall use its best endeavors to ensure that any other parties with whom it deals in carrying out its duties under the Agreement comply with such laws where applicable;

34.2 — The Coverholder shall not undertake any activity which facilitates the evasion of taxes anywhere in the world or which would constitute a criminal act in the jurisdiction in which it is located or doing business, or which would expose the Underwriters to any criminal sanction;

34.3 — The Coverholder shall conduct its business in accordance with all relevant financial crime and international economic, financial or trade sanctions laws and regulations. In addition, the Coverholder shall not act contrary to any additional requirements concerning: (i) international economic, financial or trade sanctions; (ii) the prevention of the facilitation of tax evasion; or (iii) financial crime set by the Underwriters and/or Lloyd's other than where compliance with those requirements would be contrary to local law;

34.4 — The Coverholder, on behalf of the Underwriters, shall not provide cover or pay any claim or provide benefit hereafter to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose the Coverholder and/or the Underwriters to any sanction, prohibition or restriction under any applicable international economic, financial or trade sanctions laws or regulations;

34.5 — The Coverholder shall not accept, offer or facilitate payment, consideration, or any other benefit, which constitutes an illegal or corrupt practice contrary to any applicable anti-bribery law;

34.6 — The Coverholder shall maintain on an ongoing basis appropriate systems, procedures and controls to prevent any breach of this Section 34.

LMA5313

2 March 2018

PROPERTY CYBER AND DATA EXCLUSION

1. Notwithstanding any provision to the contrary within this Policy or any endorsement thereto this Policy excludes any:
 1. Cyber Loss;
 2. loss, damage, liability, claim, cost, expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any loss of use, reduction in functionality, repair, replacement, restoration or reproduction of any Data, including any amount pertaining to the value of such Data;regardless of any other cause or event contributing concurrently or in any other sequence thereto
2. In the event any portion of this endorsement is found to be invalid or unenforceable, the remainder shall remain in full force and effect.
3. This endorsement supersedes and, if in conflict with any other wording in the Policy or any endorsement thereto having a bearing on Cyber Loss or Data, replaces that wording.

Definitions

4. Cyber loss means any loss, damage, liability, claim, cost or expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any Cyber Act or Cyber Incident including, but not limited to, any action taken in controlling, preventing, suppressing or remediating any Cyber Act or Cyber Incident.
5. Cyber Act means an unauthorised, malicious or criminal act or series of related unauthorised, malicious or criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any Computer System.
6. Cyber Incident means:
 1. any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any Computer System; or
 2. any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any Computer System.
7. Computer System means:
 1. any computer, hardware, software, communications system, electronic device (including, but not limited to, smart phone, laptop, tablet, wearable device), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, data storage service, networking equipment or back up facility, owned or operated by the Insured or any other party.
8. Data means information, facts, concepts, code or other information of any kind that is recorded or transmitted in a form to be used, accessed, processed, transmitted or stored by a computer System.

SANCTION LIMITATION AND EXCLUSION CLAUSE

No (re)insurer shall be deemed to provide cover and no (re)insurer shall be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose that (re)insurer to any sanction, prohibition or restriction under United Nations resolutions or the trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America.

15/09/10

LMA3100

SEVERAL LIABILITY NOTICE

The subscribing insurers' obligations under contracts of insurance to which they subscribe are several and not joint and are limited solely to the extent of their individual subscriptions. The subscribing insurers are not responsible for the subscription of any co-subscribing insurer who for any reason does not satisfy all or part of its obligations.

08/94

LSW1001 (Insurance)

SEEPAGE AND/OR POLLUTION AND/OR CONTAMINATION EXCLUSION CLAUSE

U.S.A. & CANADA

LAND, WATER AND AIR EXCLUSION

Notwithstanding any provision to the contrary within this Policy (or within any other Form or Endorsement which forms part of this Policy), this Policy does not insure land (including but not limited to land on which the insured property is located), water or air, howsoever and wherever occurring, or any interest or right therein.

Notwithstanding any provision to the contrary within this Policy (or within any other Form or Endorsement which forms part of this Policy), this Policy does not insure:

- a. any loss, damage, cost or expense, or
- b. any increase in insured loss, damage, cost or expense, or
- c. any loss, damage, cost, expense, fine or penalty, which is incurred, sustained or imposed by order, direction, instruction or request of, or by any agreement with, any court, government agency or any public, civil or military authority, or threat thereof, (and whether or not as a result of public or private litigation), which arises from any kind of seepage or any kind of pollution and/or contamination, or threat thereof, whether or not caused by or resulting from a peril insured, or from steps or measures taken in connection with the avoidance, prevention, abatement, mitigation, remediation, cleanup or removal of such seepage or pollution and/or contamination or threat thereof.

The term 'any kind of seepage or any kind of pollution and/or contamination' as used in this Endorsement includes (but is not limited to):

- a. seepage of, or pollution and/or contamination by, anything, including but not limited to, any material designated as a 'hazardous substance' by the United States Environmental Protection Agency or as a 'hazardous material' by the United States Department of Transportation, or defined as a 'toxic substance' by the Canadian Environmental Protection Act for the purposes of Part II of that Act, or any substance designated or defined as toxic, dangerous, hazardous or deleterious to persons or the environment under any other Federal, State, Provincial, Municipal or other law, ordinance or regulation; and
- b. the presence, existence, or release of anything which endangers or threatens to endanger the health, safety or welfare of persons or the environment.

ALL OTHER TERMS, CONDITIONS AND LIMITATIONS REMAIN UNALTERED

NMA2340

MICROORGANISM EXCLUSION (ABSOLUTE)

This Policy does not insure any loss, damage, claim, cost, expense or other sum directly or indirectly arising out of or relating to:

mold, mildew, fungus, spores or other microorganism of any type, nature, or description, including but not limited to any substance whose presence poses an actual or potential threat to human health.

This Exclusion applies regardless whether there is (i) any physical loss or damage to insured property; (ii) any insured peril or cause, whether or not contributing concurrently or in any sequence; (iii) any loss of use, occupancy, or functionality; or (iv) any action required, including but not limited to repair, replacement, removal, cleanup, abatement, disposal, relocation, or steps taken to address medical or legal concerns.

This Exclusion replaces and supersedes any provision in the Policy that provides insurance, in whole or in part, for these matters.

14/09/2005
LMA5018

ASBESTOS ENDORSEMENT

- A. This Policy only insures asbestos physically incorporated in an insured building or structure, and then only that part of the asbestos which has been physically damaged during the period of insurance by one of these Listed Perils:

fire; explosion; lightning; windstorm; hail; direct impact of vehicle, aircraft or vessel; riot or civil commotion, vandalism or malicious mischief; or accidental discharge of fire protective equipment.

This coverage is subject to each of the following specific limitations:

1. The said building or structure must be insured under this Policy for damage by that Listed Peril.
2. The Listed Peril must be the immediate, sole cause of the damage of the asbestos.
3. The Assured must report to Underwriters the existence and cost of the damage as soon as practicable after the Listed Peril first damaged the asbestos. However, this Policy does not insure any such damage first reported to the Underwriters more than 12 (twelve) months after the expiration, or termination, of the period of insurance.
4. Insurance under this Policy in respect of asbestos shall not include any sum relating to:
 - i. any faults in the design, manufacture or installation of the asbestos;
 - ii. asbestos not physically damaged by the Listed Peril including any governmental or regulatory authority direction or request of whatsoever nature relating to undamaged asbestos.

- B. Except as set forth in the foregoing Section A, this Policy does not insure asbestos or any sum relating thereto.

14/09/2005

LMA5019

Form approved by Lloyd's Market Association

MINIMUM EARNED PREMIUM CLAUSE

In the event of cancellation of this Policy by the Assured, a minimum premium of 25% as of inception shall become earned; any conditions of the Policy to the contrary notwithstanding.

Failure of the Assured to make timely payment of premium shall be considered a request by the Assured for the Underwriters to cancel. In the event of such cancellation by the Underwriters, for non-payment of premium the minimum premium shall be due and payable; provided however, such non-payment cancellation shall be rescinded if the Assured remits the full premium within 10 days of receiving it.

In the event of any other cancellation of the Underwriters, the earned premium shall be computed pro-rata, not subject to the minimum premium.

664THBNA00119

LLOYD'S PRIVACY POLICY STATEMENT

UNDERWRITERS AT LLOYD'S, LONDON

The Certain Underwriters at Lloyd's, London want you to know how we protect the confidentiality of your non-public personal information. We want you to know how and why we use and disclose the information that we have about you. The following describes our policies and practices for securing the privacy of our current and former customers.

INFORMATION WE COLLECT

The non-public personal information that we collect about you includes, but is not limited to:

- Information contained in applications or other forms that you submit to us, such as name, address, and social security number
- Information about your transactions with our affiliates or other third-parties, such as balances and payment history
- Information we receive from a consumer-reporting agency, such as credit-worthiness or credit history

INFORMATION WE DISCLOSE

We disclose the information that we have when it is necessary to provide our products and services. We may also disclose information when the law requires or permits us to do so.

CONFIDENTIALITY AND SECURITY

Only our employees and others who need the information to service your account have access to your personal information. We have measures in place to secure our paper files and computer systems.

RIGHT TO ACCESS OR CORRECT YOUR PERSONAL INFORMATION

You have a right to request access to or correction of your personal information that is in our possession.

CONTACTING US

If you have any questions about this privacy notice or would like to learn more about how we protect your privacy, please contact the agent or broker who handled this insurance. We can provide a more detailed statement of our privacy practices upon request.

POLICYHOLDER COMPLAINT FORM

If you have a complaint about insurance at Lloyd's, the Complaints team may be able to help you to resolve it. It will help us to deal with your complaint if you complete as much of this form as possible. If you do not know something, or it does not apply to you or your complaint, just leave it blank or write 'N/A' in the relevant section.

For full details, please see www.lloyds.com/complaints. You can contact us for help or advice on 0207 327 5693 or e-mail complaints@lloyds.com

Please complete in block capitals

ABOUT YOU

Policyholder details

Mr/Mrs/Ms

First Name

Surname

Address

Postcode

Telephone No

Email

representative acting for you*

Name

Address

Postcode

Telephone No

Email

*A representative can be a professional adviser or just a friend or family member. If you employ a professional to complain on your behalf you will have to meet their costs yourself.

If your complaint concerns your business

Name of Business

Group Annual Turnover €

ABOUT YOUR Insurance POLICY

Who did you buy your insurance from?

Name

Address

Postcode

Telephone No

Email

Policy / Certificate Number

The Lloyd's syndicate which provides the insurance, if known

Type of insurance (e.g. Motor, Household etc.)

If Motor, please provide Registration Number

When did this insurance policy start?

Please attach a copy of the policy certificate or schedule and any other relevant documents you may have.

Lloyd's is authorised under the Financial Services and Markets Act 2000

ABOUT YOUR complaint

(circle as appropriate)

/ / (mm/dd/yyyy)

The Financial Ombudsman Service

To enable us to establish how to handle your complaint please could you confirm whether you have contacted the Financial Ombudsman Service (FOS) regarding this complaint?

YES | NO (circle as appropriate)

FOS Reference:

Please provide a summary of your complaint

Please attach copies of any correspondence you have received relating to your complaint

What resolution would you like?

Data Protection

I would like the Complaints team to consider my complaint.

- I acknowledge that Complaints holds my personal data, including personal data ("Personal Data"), which I have provided.
- I consent to Complaints processing my Personal Data for the purposes of considering my complaint.
- I consent to my Personal Data being disclosed by the Complaints team to third parties for the purposes of considering my complaint.

.....	/ /
Policyholder Signature	Date
.....	/ /
Representative Signature (if applicable)	Date

What to do next

Please return your completed form, together with any attachments to the address below.

Complaints
Lloyds
Fidentia House
Walter Burke Way
Chatham Maritime
Kent
ME4 4RN

Telephone: (020) 7327 5693
Email: complaints@lloyds.com
Website: www.lloyds.com/complaints

We will contact you within 2 working days to confirm receipt and explain how we will handle your complaint.

PART C — AFFIDAVIT BY PRODUCING BROKER

1. PRODUCING BROKER INFORMATION

AFFIDAVIT NO.

165210

Name:

Example Name

License No.

Example License

Address

City

State

Zip Code

2. RISK INFORMATION

Name of the insured

Example Name

(The name of the insured must be precisely the same in this affidavit and the declarations page, binder, cover note or confirmation of coverage.)

3. DISCLOSURE INFORMATION

Yes

☐

No

☒

Did you personally provide a written Notice of Excess Line Placement (Form: NELP/2011) to the insured as required by Section 2118 of the New York Insurance Law and Regulation 41?

4. DECLINATION INFORMATION

(a)

Yes

☐

No

☒

Has the Superintendent determined that declinations are not required for this type of risk? IF ANSWER TO QUESTION (a) IS "YES", SKIP QUESTIONS (b) AND (c) GO ON TO THE AFFIRMATION SECTION.

(b)

Yes

☐

No

☒

Does the insured qualify as an "Exempt Commercial Purchaser" that made a written request consistent with the requirements of New York Insurance Law Section 2118(b)(3)(F)? IF ANSWER TO QUESTION (b) IS "YES", SKIP QUESTION (c) GO ON TO THE AFFIRMATION SECTION.

(c)

Yes

☐

No

☒

Was the risk described above submitted by the producing broker to companies: (1) each authorized in New York to write coverages of the kind requested; (2) which the licensee has reason to believe might consider writing the type of coverage or class of insurance involved; and, (3) was such risk declined by each such company? If the answer to QUESTION (c) above is "YES", COMPLETE THE FOLLOWING SCHEDULE:

AUTHORIZED COMPANIES DECLINING THE RISK

Declining Company #1

1. Name of Company

Date of Decline:

02/15/2022

NAIC Code

The insurer declined to underwrite the risk because:

1. ☐ Insurer presently lacks adequate capacity to write this risk.
2. ☐ Specific underwriting reason.
3. ☐ Other (Specify)

Affiliation of Representative:

☐
☐
☐

Company Employee

Agent

Other

Name of Representative Declining Risk:

I believed this insurer would consider underwriting this risk because:

☐

Recent acceptance by the insurer of a risk, requiring that type of coverage or class of insurance.

☐

Advertising by the insurer or its agent indicating it entertains that type of risk/coverage.

☐

Media communications (Newspapers, Trade Magazines, Radio) which indicate the insurer will underwrite that type of coverage.

☐

Communications with other professionals, such as brokers, agents, risk managers, insurance department or ELANY personnel indicating the insurer entertains such risks.

☐

Any other valid basis you can document.

AUTHORIZED COMPANIES DECLINING THE RISK

Declining Company #2

2. Name of Company

Date of Decline:

02/15/2022

NAIC Code

The insurer declined to underwrite the risk because:

1. ☐ Insurer presently lacks adequate capacity to write this risk.
2. ☐ Specific underwriting reason.
3. ☐ Other (Specify)

Affiliation of Representative:

☐
☐
☐

Company Employee

Agent

Other

Name of Representative Declining Risk:

I believed this insurer would consider underwriting this risk because:

☐

Recent acceptance by the insurer of a risk, requiring that type of coverage or class of insurance.

☐

Advertising by the insurer or its agent indicating it entertains that type of risk/coverage.

☐

Media communications (Newspapers, Trade Magazines, Radio) which indicate the insurer will underwrite that type of coverage.

☐

Communications with other professionals, such as brokers, agents, risk managers, insurance department or ELANY personnel indicating the insurer entertains such risks.

☐

Any other valid basis you can document.

AUTHORIZED COMPANIES DECLINING THE RISK

Declining Company #3

3. Name of Company

Date of Decline:

02/15/2022

NAIC Code

The insurer declined to underwrite the risk because:

1. ☐ Insurer presently lacks adequate capacity to write this risk.
2. ☐ Specific underwriting reason.
3. ☐ Other (Specify)

Affiliation of Representative:

☐
☐
☐

Company Employee

Agent

Other

Name of Representative Declining Risk:

I believed this insurer would consider underwriting this risk because:

☐

Recent acceptance by the insurer of a risk, requiring that type of coverage or class of insurance.

☐

Advertising by the insurer or its agent indicating it entertains that type of risk/coverage.

☐

Media communications (Newspapers, Trade Magazines, Radio) which indicate the insurer will underwrite that type of coverage.

☐

Communications with other professionals, such as brokers, agents, risk managers, insurance department or ELANY personnel indicating the insurer entertains such risks.

☐

Any other valid basis you can document.

BROKER AFFIRMATION

I, am the licensee or sublicensee of the named broker in Section 1 of this affirmation and I hereby affirm under penalties of perjury that all of the information contained herein is true to the best of my knowledge and belief.

Signature of Affiant

Date

02/15/2022

NOTICE OF EXCESS LINE PLACEMENT

Date: 02/15/2022

Consistent with the requirements of the New York Insurance Law and Regulation 41 Example Customer is hereby advised that all or a portion of the required coverages have been placed by Patriotic Insurance Group with insurers not authorized to do an insurance business in New York and which are not subject to supervision by this State. Placements with unauthorized insurers can only be made under one of the following circumstances:

- a. A diligent effort was first made to place the required insurance with companies authorized in New York to write coverages of the kind requested; or
- b. NO diligent effort was required because i) the coverage qualifies as an "Export List" risk, or ii) the insured qualifies as an "Exempt Commercial Purchaser."

Policies issued by such unauthorized insurers may not be subject to all of the regulations of the Superintendent of Financial Services pertaining to policy forms. In the event of insolvency of the unauthorized insurers, losses will not be covered by any New York State security fund.

TOTAL COST FORM (TAX ALLOCATED PREMIUM TRANSACTION)

[Applies only to policies with effective dates of on or before July 20, 2011 with risks located both inside and outside New York.]

In consideration of your placing my insurance as described in the policy referenced below, I agree to pay the total cost below which includes all premiums, inspection charges⁽¹⁾ and a service fee that includes taxes, stamping fees, and (if indicated) a fee⁽¹⁾ for compensation in addition to commissions received, and other expenses⁽¹⁾.

I further understand and agree that all fees, inspection charges and other expenses denoted by⁽¹⁾ are fully earned from the inception date of the policy and are non-refundable regardless of whether said policy is cancelled. Any policy changes which generate additional premium are subject to additional tax and stamping fee charges. The excess line tax and stamping fees denoted by⁽²⁾ below are only charged against the portion of premium and other taxable charges, where applicable, (Insurer policy or inspection fees) for the portion of the insured risk located in New York.

Re: Policy No. 22SSI224PF2024

Insurer Sterling Surplus Underwriters

Policy Premium⁽²⁾ \$659.00

Insurer Imposed Charges:

Policy Fees⁽¹⁾⁽²⁾ \$0.00

Inspection Fees⁽¹⁾⁽²⁾ \$0.00

Services Fee Charges:

Excess Line Tax (3.6%)⁽²⁾ \$23.72

Stamping Fee⁽²⁾ \$1.12

Broker Fee⁽¹⁾ \$25.00

Inspection Fee⁽¹⁾ \$0.00

Other Expenses⁽¹⁾ \$0.00

Total Policy Cost: \$708.84

⁽¹⁾ = Fully earned

⁽²⁾ = Taxes and stamping fees are calculated on the portion of the risk
located in N.Y. only

Signature of Insured

NYSID Form: NELP/2011



Notification of Complaint:

Email: info@sterlingsu.com

Phone: 855.227.2202

Policyholder Declaration

I would like the Sterling Complaints team to consider my complaint. I understand that:

- You will need to handle personal details about me, which could include sensitive information (for example, about health matters) in order to deal with my complaint effectively;
- You may need to exchange information about my complaint with other organisations (for example, to find out important facts relating to my case);

I, (name of policyholder) _____

authorize (name of representative) _____

to submit and pursue this complaint on my behalf.

Policyholder Details

Address:

Email:

Telephone:

Preferred Method of Contact (circle)

Letter / Email / Telephone

Representative Details

Address:

Email:

Telephone:

Preferred Method of Contact (circle)

Letter / Email / Telephone

Policyholder Signature

Date: / /